Bonds Ignore Greenspan on Longer-Term Rates

By Mark Whitehouse

CREDIT MARKETS

In his semiannual Senate testimony yesterday, Alan Greenspan presented what he called a "conundrum:" How can long-term interest rates be so low when the Federal Reserve has been raising short-term rates for more than six months?

If his comments were intended to move interest rates to a more understandable level, though, the market was hardly listening.

Despite the Federal Reserve chairman's statement that low long-term rates might be a "short-term aberration," the main determinant of those rates—the price of 10-year Treasury notes—moved only slightly. Immediately after Mr. Greenspan's comments, the price of the 10-year Treasury dropped a bit, pushing the yield upward from about 4.10% to 4.15%. Then buyers rushed in, preventing the yield from rising further.

"There's a lot of cash on the sidelines looking for something to do," said John Roberts, managing director at Barclays Capital. In late New York trading, the 10-year note was down 15/32, or $4.69 per $1,000 invested, to 98 22/32, yielding 4.162%; the 30-year bond, meanwhile, was down 18/32 to 112 31/32, yielding 4.523%. The 10-year yield is up from the low of 3.98% that it reached last week, but still a lot less than 4.62%, where it stood when the Fed started tightening in June 2004.

Knowing where the cash comes from—and why—would go a long way toward solving Mr. Greenspan's brainteaser. Traders and analysts offer various explanations, one of which Mr. Greenspan mentioned in his testimony: Asian central banks, eager to keep their currencies and exports cheap, are buying dollars and investing them in U.S. bonds. Treasury data show the central banks' appetite for U.S. debt has waned in recent months, but most still see the mechanism as significant.

A complementary explanation, offered by both market participants and Mr. Greenspan, is that long bonds have become scarce. The U.S. Treasury hasn't issued a 30-year bond since 2001, and falling mortgage rates can create a chain reaction that decreases the supply of long-term debt: Homeowners refinance their mortgages, paying off loans that otherwise would have survived as long as 30 years. Bereft of long-term mortgage bonds to buy, investors pile into Treasurys. As Mr. Greenspan put it, this "may be yet another contributor to the recent downward pressure on long-term yields."

Yield Comparisons

Based on Merrill Lynch Bond Indexes, priced as of midafternoon Eastern time

	2/16	2/15	52-WEEK HIGH	52-WEEK LOW
Corp. Govt. Master	4.19%	4.14%	4.47%	3.16%
Treasury				
1-10 yr	3.57	3.51	3.57	2.08
10+ yr	4.46	4.41	5.43	4.32
Agencies				
1-10 yr	3.83	3.79	3.86	2.25
10+ yr	4.88	4.82	5.93	4.66
Corporate				
1-10 yr High Quality	4.20	4.14	4.26	2.84
Medium Quality	4.56	4.50	4.86	3.48
10+ yr High Quality	5.33	5.27	6.26	5.14
Medium Quality	5.68	5.63	6.77	5.49
Yankee bonds (1)	4.58	4.53	4.81	3.53
Current-coupon mortgages (2)				
GNMA 4.99% (3)	4.88	4.85	5.82	4.53
FNMA 4.99%	5.03	5.00	5.86	4.58
FHLMC 4.99%	5.03	5.01	5.88	4.61
High-yield corporates	6.83	6.85	8.45	6.76
Tax-Exempt Bonds				
7-12 yr G.O. (AA)	3.46	3.41	4.33	3.08
12-22 yr G.O. (AA)	3.74	3.70	4.93	3.63
22+ yr revenue (A)	4.39	4.35	5.42	4.28

Note: High quality rated AAA-AA, medium quality A-BBB/Baa, high yield BB/Ba-C.

(1) Dollar-denominated, SEC-registered bonds of foreign issuers sold in the U.S. (2) Reflects the 52-week high and low of mortgage-backed securities indexes rather than the individual securities shown (3) Government guaranteed

Beyond that, the market's logic departs from Mr. Greenspan's. Some bond professionals, for example, believe the need to ensure the financial future of an aging population is increasing the demand for long-term debt. For example, traders think the Pension Benefit Guaranty Corporation, responsible for paying the pensions of deadbeat companies' employees, has been investing heavily in bonds to cover its future liabilities. At the end of last month, it chose three managers to invest another $7.5 billion.

And in January, the Labor Department voiced a desire to make companies record certain paper losses in the values of their pension funds as actual losses in their income statements. This, the logic goes, would encourage the companies to invest pension money in long bonds, which are less likely than equities to drop precipitously in price and force the company to declare a loss.

But the PBGC's assets represent a small portion of the market and the Labor Department's plans are still far from reality, so many are skeptical that they have more than a psychological effect. "I think that the pension reform is more the excuse and not the reason" for low interest rates, said Gerald Lucas, head of Treasury and agency strategy at Banc of America Securities in New York.

Some economists see no conundrum at all. In their opinion, the low rates that baffle Mr. Greenspan are the result of his own good work: U.S. monetary policy has become so credible, and interest rates so stable, that the market is willing to pay more for long-term U.S. debt than ever before, thus driving down long-term rates. "The market trusts the Fed, and so people do not demand a great compensation for risk," said Bill Dudley, chief U.S. economist at Goldman Sachs in New York.

Corporate Bonds

The Ford Motor Credit unit of **Ford Motor** Co. offered 160 billion yen ($1.53 billion) of three-year debt. It marked the largest single issue of Samurai bonds, which are yen-denominated bonds sold by foreign borrowers in Japan.

Reflecting strong demand, the issue's size was boosted three times from an initial 30 billion yen. Underlying interest in Samurai bonds has been strong, and investors also were attracted by the relative richness of the spread for Ford Motor Credit's credit ratings, said an official at Mitsubishi Securities Co., joint lead manager with Daiwa Securities SMBC Co. and Mizuho Securities Co.

Rated single-A3 by Moody's Investors Service and triple-B-minus by Standard & Poor's, the 1.71% securities were priced to yield 1.35 percentage points over the yen London Interbank Offered Rate, at the tight end of latest official guidance of 1.35 to 1.4 points.

Foreign Bonds

Moody's Investors Service slashed its credit rating on the Philippines by a larger-than-expected two notches, which some analysts said was too harsh. The move followed recent negative ratings actions by Standard & Poor's and Fitch Ratings. But the downgrade to single-B1 from Ba2 put the Moody's ranking one level lower than that of S&P and two levels below Fitch's. Moody's cited "concerns that the large buildup in government and external debt introduces a heightened vulnerability to shocks."

President Gloria Macapagal Arroyo labeled the downgrade "quite severe," but said it would spur the government to "pursue reforms with a greater sense of urgency."

—Michiyo Seki and Karen Lane contributed to this article.

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